Chapter 10: Money, Banking, and the Federal Reserve System

Principles of Macroeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 10: Money, Banking, and the Federal Reserve System, benchmarked to standard principles curriculum.

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1 Monetary Aggregates

$M1$ includes currency and checkable deposits. $M2$ includes $M1$, savings deposits, and small time deposits.

2 Fractional Reserve Banking and Multipliers

Banks expand deposits through commercial lending. Under fixed reserve requirements without excess reserve holding, the theoretical deposit multiplier is:

$$m = \frac{1}{rr} \tag{1}$$